

Circular P-03 — Liquidity Coverage Ratio Policy — Revised

Eligible Asset Classification

Reference:	FRA/P/2025/003	Issue Date:	18 Apr 2025
Effective Date:	01 Jul 2025	Response Deadline:	31 May 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Policy Change

The Authority is revising the classification of High Quality Liquid Assets (HQLA) eligible for inclusion in the Liquidity Coverage Ratio (LCR) calculation. Corporate bonds previously classified as Level 2B assets with a 50% haircut will now attract a 75% haircut. This change increases the effective LCR requirement for firms holding large corporate bond portfolios and may require rebalancing of liquidity buffers.

2. Affected Instruments

The following instruments are reclassified: (a) Non-financial corporate bonds rated BBB- to BBB+ — haircut increased from 50% to 75%; (b) RMBS not issued by government agencies — removed from HQLA eligibility entirely; (c) Equity securities — maximum Level 2B cap reduced from 15% to 10% of total HQLA.

3. Impact Assessment

Firms must submit a Liquidity Impact Assessment by 31 May 2025 showing the effect of reclassification on their LCR ratio and identifying any shortfall. Firms whose LCR falls below 110% post-reclassification must submit a remediation plan.

4. Transitional

A 90-day transitional period applies from 1 Jul 2025, during which firms may report under both old and new classifications. From 1 Oct 2025 only new classifications will be accepted.